

Derivatives

Some derivative debt instruments, such as those discussed in Chapter 15, are fairly straightforward. Others are so complex that it takes half an hour to understand what they are. I was having breakfast in New York in 1986 (at the peak of wave Y) and overheard a feverish pitch for — get this — puts and calls...on zero coupon bonds...which were tax deferred...through an insurance policy!

A few of these exotic debt instruments will cause losses of greater than 100%. How is that possible? To give you just a taste of the intricate nature of some of the debt instruments available, read this description of just one exotic derivative, from a March 1993 article in *The Wall Street Journal* (emphasis added):

Heavyweights such as Dreyfus and Putnam mutual funds are making big bets in a little known corner of the municipal bond market. To spice up returns, some muni funds have put 5% to 15% of their money into inverse floaters. Never heard of them? You have plenty of company. But sales of municipal inverse floaters have exploded during the past three years, to \$4.8 billion in 1992 from just \$100 million in 1990. Sales this year may set another record. Underwriters say that municipal bond funds buy more than 90% of all inverse floaters. To make an inverse floater, underwriters take a regular bond issue—for example, a 30-year bond with

a coupon of 6%—and split it into two parts. Half the issue pays a low money-market rate (say, around 2%) that “floats” in line with other short-term interest rates. The other part—the “inverse floater”—gets all the rest of the bond’s interest payments. So, when short-term rates fall, yields on garden-variety floaters fall right along with them, but yields on “inverse floaters” rise because there is more interest left over for them. Inverse floaters offer higher yields in exchange for greater risk. Price gains for an inverse floater can be twice as large as those for a standard municipal bond during a bull market. *But in a bear market, the losses can also be twice as large.*

In March 1993, Merrill Lynch & Co. began marketing inverse floaters directly to individual investors with \$25,000 or more. *The Wall Street Journal* noted that because the Merrill brochure “teems with warnings about the securities” (as well it should), “they are known at Merrill as Teems.” The bear market in bonds predicted in this book is expected to carry short term rates well into double digits. If it happens, the losses in inverse floaters will turn out to be greater than the underlying principal, as the payer of the “low money market rate” on the guaranteed half of the issue may find himself paying out 20% or more per year on a 30-year bond.

High Grade Corporate Bonds

A depression will impact the ability of debt-leveraged companies to earn the income required to service and even ultimately to pay off debt. The less debt-laden a company, the greater its potential ability to honor its obligations. Of all classes of bonds discussed